Preparation Worksheet
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	SELF: Sal Granger, President of Magnetic Advances	OTHER: Audio Components
PRIORITIZED INTERESTS & POSITIONS	#1: Come to an agreement where Magnetics Advances can produce Z-25 and exploit its commercial possibility #2: Convince Audio components of success with commercial sales, likely prioritizing not selling to their competitors for X amount of time without committing to not sell to other El-Tek Division customers #3: Come to an agreement with Audio Components without top management becoming involved #4: Convince Audio Components that selling to Magnetics Advances is the best internal sale possible for them compared to other divisions (at least 12 million) - maybe appeal to the notoriety of their invention etc. Audio does not have large capacity for its production, variable costs are less for production 60% of sales and small unit for specialty magnet production	#1: Recoup development costs of 12M and make reasonable profit in developing Z-25 #2: Prevent Magnetics from selling to direct competitors of Audio Components to avoid losing competitive advantage #3: Variable costs of making magnets are higher around 65% of sales, so may want free supply of Z-25 with the deal #4: Obtain a transfer payment for product release
BATNA	Audio Components produces Z-25 with only internal sales (0 lifetime profit/net profit to Magnetics)	Do not sell to Magnetic Advances and cannot exploit commercial opportunities, would have Z-25 in specialty sales of magnets internally ~10M currently
RESERVATION PRICE	69.3 M = Make 10% profit off of outcome 9	12M to cover development costs and reasonable profit 1M (by El Tek standards 10% internal sales= 10M*.1) = 13M
TARGET/ ASPIRATION	70M: Make 50% profit off of 140 million the internal sale to Audio components with no restrictions on distribution	20M transfer price and Magnetics produces Z-25 and is prohibited from selling to competitors of any El-Tek divisions for 20 months (Audio's direct competitors and competitors of other divisions)

WHAT IS YOUR OPENING MOVE? INITIAL STRATEGY AND CONTINGENCY PLANS:
Discuss motivations and priorities. Frame the negotiation with how much of a waste it would be to not exploit the commercial opportunities of the Z-25 technology. Make our lesser outcomes seem like concessions/make a big deal out of refraining from selling to their competitors for the first 3-6 months and if they've already been prepped on all the same outcomes we have. Offer up to one year of exclusivity, could maybe discuss add ons of royalties/free supply of Z-25 to Audio. Convince them of only excluding their competitors from our sales by saying they will receive all of the profit off of this sale if that happens.